APPLIED LAW | INDUSTRY RELATED ACTS

Industrial Enterprises Act, 2076

औद्योगिक व्यवसाय ऐन, २०७६

For Application / CAP II Level

With coverage of Learning Objective (LO) as per new syllabus

By CA Govinda Tamang

With latest amendment

Syllabus Weightage

Applied Law



	Syllabus Area	Weighting (%)
1	**Nepal Chartered Accountants Act, 2053,** rules and Government Audit	10%
2	**Industry Related Acts:** Companies Act, 2063, Industrial Enterprises Act, 2076 and Foreign Investment and Technology Transfer in Nepal	30%
3	**Finance Related Acts:** Banks and Financial Institutions Act, 2073, Nepal Rastra Bank, 2058, Insurance Act, 2079 and Securities Act, 2063 and rules	30%
4	**Labour Act, 2074 and Other Acts Related to Employment**	10%
5	**The National Civil (Code), 2074 (Part V)**	10%
6	**Acts related to Social Organizations**	5%
7	**Understanding public procurement in Brief**	5%

Total Weightage — **100%**

LEARNING OUTCOMES (OVERALL): INDUSTRIAL ENTERPRISES ACT, 2076

Candidates will be able to define the related terms of the act, explain the provisions related to registration, classification, boards, committees, punishments and corporate social responsibility of industries along with foreign investment and technology transfer in Nepal.

In the assessment, candidates may be required to:

a	Define the related terms of the Act included in the syllabus and elaborate the provisions of registration of industries and classification of industries on the basis of nature and capital investment.	Section 3 – 19
b	Evaluate and assess the provision relating to industry investment promotion board (Section 20 – 23), one stop service centre (Section 37 – 38) and sick industries (Section 39 – 42).	Section 20 – 23 Section 37 – 38 Section 39 – 42
c	Analyse and evaluate the provisions relating to punishments and appeal.	Section 43 – 46
d	Explain about industrial human resource and corporate social responsibility.	Section 47 – 69
e	State the objectives of the Act along with definition of related terms of the Act and identify industry or business not opened to foreign investment to understand relationship with the Industrial Enterprises Act, 2076.	Section 1 – 3 of The Foreign Investment and Technology Transfer Act, 2075



INDUSTRIAL ENTERPRISES ACT, 2076

AN ACT RELATING TO INDUSTRIAL ENTERPRISES IN NEPAL

ENACTED AS
ACT NO. 19 OF THE YEAR 2076

DATE OF PUBLICATION
2076.10.28 (10 February 2020)
Published in Nepal Gazette

PURPOSE

To create an investment-friendly and competitive industrial environment, promote the production of industrial goods or services and generate employment opportunities by utilizing the country's available resources to their maximum potential, focusing on import substitution and export promotion; and to ensure the easy, predictable and effective management of the industrial sector for the development of a dynamic and strong economy by amending and consolidating existing laws related to industrial enterprises.

AMENDMENT HISTORY

01 Act to Amend Certain Nepal Acts Relating to Investment Facilitation

ENACTED ON
2081.03.24
(6 July 2024)

02 Act to Amend Certain Nepal Acts Relating to Improvement of Economic and Business Environment and Promotion of Investment

ENACTED ON
2081.12.18
(2 April 2025)

ENACTED AS
ACT NO. 19 OF THE YEAR 2076

DATE OF PUBLICATION
2076.10.28 (10 February 2020)
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Promulgated by the Federal Parliament of Nepal to strengthen the foundation for sustainable industrial growth and prosperity.

KEY FOCUS AREAS

PROMOTE INVESTMENT
Create a conducive and predictable environment for investment

BOOST PRODUCTION
Enhance production of industrial goods and services

GENERATE EMPLOYMENT
Increase employment opportunities through industrial development

SUBSTITUTE IMPORTS
Reduce dependence on imports through local production

PROMOTE EXPORTS
Encourage export of competitive industrial products

EFFECTIVE MANAGEMENT
Ensure easy, predictable and effective management of the industrial sector

Building a dynamic, competitive and self-reliant industrial sector for a prosperous Nepal.

Define the related terms of the Act included in the syllabus and elaborate the provisions of registration of industries and classification of industries on the basis of nature and capital investment. (Section 3 – 19)

LO	Syllabus content	Technical grid reference
LO 6a	❖ Industries to be registered ❖ Application for registration ❖ Grant registration certificate to the industries ❖ Appeal ❖ Mitigation of negative effect on environment ❖ Permission ❖ Information about commercial production or commencement of transactions ❖ Inspection and supervision ❖ Relocation of industries ❖ Capital increment, efficiency increment, objectives addition or alter objectives ❖ Returns to be submitted ❖ Information on closure of industries ❖ Application for cancellation of registration of industries ❖ Management of records and registers ❖ Classification of industries ❖ Permanent capital of industries ❖ National priority industries	Section 3 to 19 of the Industrial Enterprises Act, 2076

SECTION 2 DEFINITIONS

(a) **"Industry"** means an industry referred to in section 17,



(b) **"Industry registration body"** means the Department, and this term includes the department or office of a Provincial Government responsible for the administration of industries.



(c) **"One-stop service centre"** means the one-stop service centre referred to in section 37,



(d) **"Transaction"** means the production and distribution by an industry of goods or services as per its objectives, and this term also includes other transactions relating to such production and distribution.



(e) **"Fund"** means the fund referred to in section 51.



(f) **"Cottage industry"** means an industry under clause (b) of sub-section (1) of section 17.



(g) **"Large industry"** means an industry under clause (e) of sub-section (1) of section 17.



(h) **"Prescribed"** or **"as prescribed"** means prescribed or as prescribed by the rules framed under this Act.



(i) **"Export industry"** means an industry, other than an energy industry, which exports more than at least forty percent of its production.



(j) **"Board"** means the industrial and investment promotion board formed pursuant to section 20.



(k) **"Intellectual property"** means intellectual properties, including patents, designs, trademarks, service marks, geographical indications and trade secrets, and this term includes matters defined as copyrights by the prevailing law



Section 2 Definitions (contd...)

(l) "Medium industry" means an industry under clause (d) of subsection (1) of section 17



(m) "Ministry" means the Ministry of the Government of Nepal responsible for matters relating to industry



(n) " National priority industry" means an industry under section 19



(o) "Micro-industry" means an industry under clause (a) of subsection (1) of Section 17

(p) "Department" means the Department of Industries



(q) "Small industry" means an industry under clause (c) of subsection (1) of section 17

(q1) "Startup Enterprise" means a startup enterprise pursuant to Section 4A



(r) "Fixed capital" the property under section 18



SECTION 3: INDUSTRY TO BE REGISTERED

MANDATORY REGISTRATION



No person shall establish, operate, or cause to be operated any industry without registration under this Act.



UNREGISTERED EXISTING INDUSTRIES (SUB-SECTION 1A)



Industries established and operated before commencement of this provision but not registered must:

- Apply for registration within 1 year from commencement of this sub-section.
- Registration authority shall register such industry after imposing fine equivalent to

Fine under s.43(1) (by class: Rs 5,000 micro/cottage, Rs 25,000 small, Rs 50,000 medium, Rs 1,00,000 large)

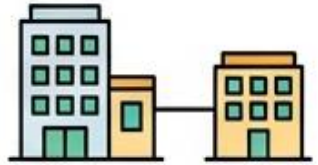
EXISTING REGISTERED INDUSTRIES



Industries already registered under prevailing industrial laws before commencement of this Act do not require re-registration.



BRANCH INDUSTRY REGISTRATION



Branch industries established before commencement of this Act must be registered as separate industries within 1 year.

OR

If products are produced at another location and separate registration is not obtained, it may operate as a unit industry.



UNIT INDUSTRIES

Unit industries must follow all procedures applicable to new industries except registration.

Unit must maintain production and transaction records and submit them to the main office.

'SECTION 4: PROVISIONS RELATING TO REGISTRATION OF INDUSTRIES'

1 INDUSTRIES REQUIRING DEPARTMENT REGISTRATION [Section 4(1)]

Application shall be submitted to the Department for:

(a) Industries requiring permission under Schedule 1
(b) Industries established with foreign investment
(c) Industries related to matters under Schedule 5 of Constitution of Nepal
(d) Industries failing under jurisdiction of two or more Provinces
(e) Academic consultancy services related to diplomatic affairs
(f) Large industries

2 PROVINCIAL REGISTRATION AUTHORITY [Section 4(2)]

Provincial Government shall administer:

- Registration
- Renewal
- Regulation

of industries other than those covered under Section 4(1).

Permission must be obtained for industries requiring permission.

3 FEDERAL AUTHORITY UNTIL PROVINCIAL LAWS [Section 4(3)]

Until Provincial Governments enact laws, the Federation shall continue administration of industries requiring provincial registration, including:

- Registration
- Renewal
- Regulation

4 INDUSTRIES OPERATED ONLY BY GOVERNMENT OF NEPAL [Section 4(4)]

Only the Government of Nepal may establish and operate industries related to:

- Atomic energy
- Radioactive materials
- Atomic energy-related activities
- Uranium-based energy

5

ELECTRONIC SUBMISSION FACILITY [Section 4(5)]



Application documents may be submitted electronically.



Documents may be authenticated through digital signature.

6

DEFICIENCY IN APPLICATION DOCUMENTS [Section 4(6)]



If required details/documents are missing:

- Registration authority shall inform applicant.



Applicant must submit missing documents within 21 days.

7

REJECTION OF APPLICATION [Section 4(7)]



Application may be rejected if:

- Required documents are not submitted within 21 days; or
- Requirements under Act/rules are not fulfilled.

Conditions:

- Reasons must be recorded.
- Written notice must be provided within 5 days of decision.

8

PROVINCIAL INDUSTRY REGISTRATION [Section 4(8)]



Industries other than those mentioned in Section 4(1) shall apply to the concerned Provincial industry registration body with required documents.



9

DEEMED PERMISSION FOR ESTABLISHMENT [Section 4(9)]



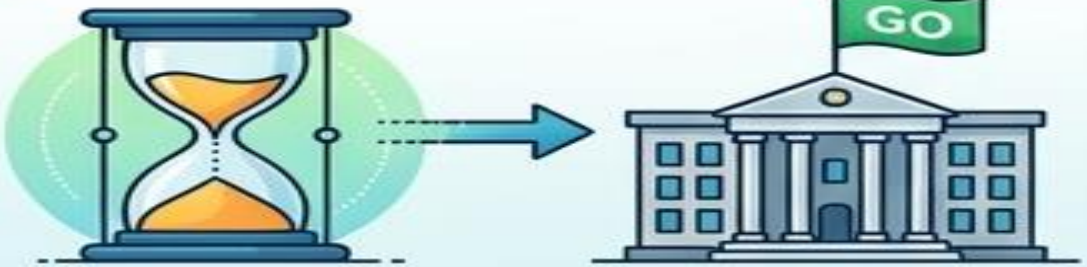
If:

- No additional documents/information are requested within 15 days from application registration; or
- No decision is made within 15 days after submission of required documents,

then:

- Applicant cannot be prevented from establishing or operating the industry.
  Exception: Industries referred to in Section 4(4).
- Department shall issue Industry Registration Certificate after such establishment/operation.

9



Nepal Government

SECTION 4A: REGISTRATION AND OPERATION OF STARTUP ENTERPRISES – SUMMARY



WHAT IS A STARTUP ENTERPRISE?

Firms or companies using innovation and creative thinking for development, production, operation, operation, or distribution of goods, services, or processes may be registered registered as Startup Enterprises.

STARTUP ENTERPRISE REQUIREMENTS



NEW COMPANY FORMATION

Be registered as a new company, private firm, or partnership firm.

INNOVATION & TECHNOLOGY

Use innovative ideas and technology in producing goods or services.

RAPID GROWTH POTENTIAL

Have potential for rapid growth and scalability.

AGE UNDER 10 YEARS

Have completed less than 10 years from the date of registration.

ANNUAL TURNOVER LIMIT

Have annual turnover of not more than NPR 150 million (Rs. 15 crore) in any financial year after registration.



FURTHER PROVISIONS

Other provisions relating to the registration and operation of Startup Enterprises shall be as prescribed.



SUPPORT & PROMOTION

The Government of Nepal, Provincial Governments, and Local Levels may establish and operate Enterprise Promotion Centres for promoting Promotion Centres for promoting Startup Enterprises.



REGULATION & RECORD KEEPING

The authority responsible for startup registration shall regulate Startup Enterprises.

A separate record of registered Startup Enterprises shall be maintained by the registering authority.

SECTION 5: INDUSTRY REGISTRATION CERTIFICATE

CERTIFICATE ISSUANCE

Registration certificate issued within 5 days after complete application.



CERTIFICATE INCLUDES:

a. Date of issue
b. Time limit for commercial production/operation
c. Conditions to be followed by the industry
d. Other conditions, if any

SPECIAL PROVISION

A micro-industry may apply for registration within 1 year after starting operation.



SECTION 6: COMPLAINT

RIGHT TO COMPLAIN

If registration is refused, a complaint may be filed within 30 days.



APPEAL LIES TO:

a. Ministry (for Department's decision)
b. Provincial Ministry (for Provincial authority's decision)

DECISION

Complaint must be decided within 30 days. Other procedures are as prescribed.





SECTION 7: ENVIRONMENTAL PROTECTION

ENVIRONMENTAL APPROVAL

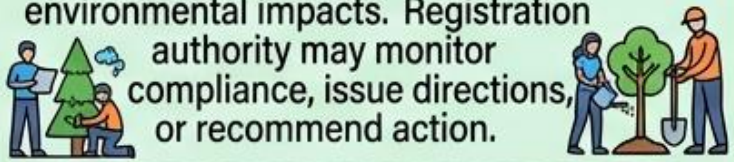
EIA/IEE approval is mandatory before establishment or operation where required by law.

Fresh EIA/IEE may be required for:

a. [redacted] capacity expansion
b. Change in objectives
c. Change or transfer of location

ENVIRONMENTAL RESPONSIBILITY

Industry must prevent and mitigate environmental impacts. Registration authority may monitor compliance, issue directions, or recommend action.



SELF-DECLARATION

Industries not requiring EIA/IEE must submit a self-declaration confirming they will take measures to minimize environmental impacts.



Also submit Environmental Management Plan (EMP)

SECTION 8: PERMISSION REQUIRED - SUMMARY

Industries listed in Schedule 1 require prior permission before registration

Schedule - 1

Industries under Serial No. 1 of Schedule 1 require prior approval from the Government of Nepal, Council of Ministers.

Applicant seeking permission submits **application** to the Board through the industry registration authority.



THE INDUSTRY REGISTRATION AUTHORITY SHALL:



1. EXAMINE THE APPLICATION AND DOCUMENTS.



2. FORWARD THE APPLICATION WITH ITS OPINION TO THE BOARD WITHIN 7 DAYS (if all requirements fulfilled)

THE BOARD SHALL DECIDE WHETHER TO GRANT OR REFUSE PERMISSION FOR REGISTRATION (WITHIN 30 DAYS)



GRANT PERMISSION

REFUSE PERMISSION

IF PERMISSION IS GRANTED:



1. THE DEPARTMENT SHALL ISSUE A PERMISSION LETTER WITHIN 5 DAYS OF THE BOARD'S DECISION. (5 DAYS)
2. APPLICANT MUST APPLY FOR INDUSTRY REGISTRATION WITHIN THE PERIOD MENTIONED IN THE PERMISSION LETTER.



IF THE APPLICANT CANNOT APPLY WITHIN SPECIFIED PERIOD:

1. APPLICANT MAY REQUEST EXTENSION OF VALIDITY (by stating reasons)
2. THE BOARD MAY EXTEND VALIDITY IF REASONS ARE REASONABLE.



THE BOARD MAY IMPOSE ADDITIONAL TERMS AND STANDARDS while granting permission.

IF PERMISSION IS REFUSED:



THE INDUSTRY REGISTRATION AUTHORITY SHALL INFORM THE APPLICANT WITHIN 5 DAYS OF THE DECISION.

PROHIBITIONS BEFORE COMMENCEMENT:

APPLICANT SHALL NOT (before operation, commercial production, or business):



- SELL THE PERMISSION LETTER.
- TRANSFER RIGHTS UNDER PERMISSION LETTER.
- CHANGE OWNERSHIP OF PERMISSION LETTER.



INHERITANCE (IF APPLICANT DIES BEFORE COMMENCEMENT):



THE LEGAL HEIR MAY COMPLETE REMAINING PROCEDURES ACCORDING TO PREVAILING LAW.

Section 9: Requirement to Notify Commencement of Industry, Commercial Production, or Business Operations

SECTION 9: COMMENCEMENT NOTIFICATION

AN INDUSTRY REGISTERED UNDER THE ACT MUST COMMENCE:



① OPERATION



② COMMERCIAL PRODUCTION



③ BUSINESS TRANSACTIONS

WITHIN THE PERIOD SPECIFIED IN THE INDUSTRY REGISTRATION CERTIFICATE.

THE INDUSTRY MUST NOTIFY THE INDUSTRY REGISTRATION AUTHORITY WITHIN 30 DAYS AFTER COMMENCEMENT.



IF AN INDUSTRY CANNOT COMMENCE OPERATION WITHIN THE SPECIFIED PERIOD:



① IT MAY APPLY TO THE INDUSTRY REGISTRATION AUTHORITY FOR AN EXTENSION OF TIME BY STATING THE REASONS FOR DELAY.



WHILE CONSIDERING AN EXTENSION APPLICATION, THE INDUSTRY REGISTRATION AUTHORITY SHALL CONSIDER:



PROGRESS OF CONSTRUCTION AND ESTABLISHMENT WORKS



NATURE OF THE INDUSTRY



PRESCRIBED DELAY FEE PAYMENT

IF THE REASONS ARE SATISFACTORY, THE INDUSTRY REGISTRATION AUTHORITY MAY EXTEND THE PERIOD AS PRESCRIBED.



IF EXTENSION IS REQUIRED MORE THAN THREE TIMES, THE DEPARTMENT SHALL SUBMIT THE MATTER WITH ITS RECOMMENDATION TO THE BOARD FOR APPROVAL.



DEPARTMENT

BOARD

Section 10: Monitoring and Inspection

SECTION 10: MONITORING & INSPECTION

THE MINISTRY OR INDUSTRY REGISTRATION AUTHORITY MAY MONITOR AND INSPECT INDUSTRIES FROM TIME TO TIME TO VERIFY COMPLIANCE WITH:

- ☑ THIS ACT
- ☑ RULES FRAMED UNDER THIS ACT
- ☑ TERMS MENTIONED IN THE INDUSTRY REGISTRATION CERTIFICATE



OFFICIALS ASSIGNED FOR MONITORING AND INSPECTION MAY:



ENTER INDUSTRY PREMISES



COLLECT AUDIO-VISUAL INFORMATION AND NECESSARY DATA



EXAMINE REQUIRED DOCUMENTS



DEMAND NECESSARY INFORMATION AND DETAILS

MATTERS RELATING TO PROTECTION AND CONFIDENTIALITY OF INTELLECTUAL PROPERTY RIGHTS SHALL BE GOVERNED BY PREVAILING INTELLECTUAL PROPERTY LAWS.



INDUSTRIES HAVE A DUTY TO PROVIDE THE REQUIRED INFORMATION AND DETAILS DURING MONITORING AND INSPECTION.



IF ANY PROBLEM IS IDENTIFIED DURING MONITORING:



THE INDUSTRY REGISTRATION AUTHORITY MAY CONSULT AND FACILITATE THE CONCERNED INDUSTRY TO RESOLVE THE ISSUE.



INDUSTRIAL REGULATION: APPROVAL PROCEDURES

SECTION 11: APPROVAL REQUIRED FOR RELOCATION OF AN INDUSTRY



1. Submit an application to the industry registration authority with prescribed details and reasons.
2. The authority may approve relocation after:
   - Obtaining recommendation from the concerned Local Level where the industry will be relocated.
   - Completing required environmental study, if applicable.
3. Information regarding approval of relocation shall be provided to:
   - Concerned Provincial Ministry responsible for industries, and
   - Concerned Local Level.
4. Other provisions relating to relocation shall be as prescribed.

SECTION 12: APPROVAL REQUIRED FOR CAPITAL INCREASE, CAPACITY EXPANSION, AND CHANGE OF OBJECTIVES



- An industry must obtain approval from the industry registration authority before:
  - Increasing existing capital,
  - Expanding production capacity,
  - Adding, changing, or altering objectives.
- The authority shall grant approval within 90 days if the application is satisfactory and prescribed procedures are fulfilled.

If capital increase, capacity expansion, or change in objectives results in a change in industry classification:
- Records shall be updated.
- The change shall be recorded in the Industry Registration Certificate.

Micro Enterprises and Cottage & Small Industries with fixed capital not exceeding NPR 10 million (Rs. 1 crore) and not require prior permission:
- Do not require approval for capital increase or capacity expansion.
- If such changes require EIA or IEE, environmental approval must be obtained according to prevailing law.

NOTE Increase in production due to improved managerial efficiency without changing machinery or equipment:
- Shall not be considered as capacity expansion.

SECTION 12A: APPROVAL REQUIRED FOR TRANSFER OR CHANGE OF OWNERSHIP



- Transfer or change of ownership of an industry requires approval from the industry registration authority.
- An application must be submitted with prescribed documents.
- The authority shall grant approval within 30 days after examining the submitted documents and finding it appropriate.

INDUSTRIAL REGULATION: SECTIONS 13-16 INFOGRAPHIC

SECTION 13: SUBMISSION OF DETAILS

Annual submission

Every industry must submit prescribed details within 6 months after the end of each fiscal year.

Details may be submitted electronically.

Closed industries

Even if an industry remains closed or has no production/transactions, it must submit nil details.

No submission is required after officially notifying the registration body of the closure

SECTION 14: INFORMATION OF CLOSURE

Mandatory notice

An industry must inform the registration body within 30 days if it:



a. Closes its business



b. Suspends commercial production or transactions

SECTION 15: CANCELLATION OF INDUSTRY REGISTRATION

Application for cancellation

An industry that cannot continue operations may apply for cancellation.

Insolvency cases are governed by the Insolvency Law.

Cancellation process



Registration is cancelled after verifying payment of taxes and other government liabilities

Information of cancellation is sent to the applicant and concerned government agencies

Insolvency

If an industry is liquidated through insolvency proceedings, the liquidator must notify the registration body.

SECTION 16: MANAGEMENT OF RECORDS

Record maintenance

Registration body maintains records relating to registration, renewal, name change, location, capital, capacity, objectives, and cancellation.

Access to records

Industry owners may obtain certified copies on payment of the prescribed fee.

Lost or destroyed records may be reconstructed and duplicate copies issued

Incorrect duplicate records may be cancelled.

Confidentiality

Records are provided only to the industry or its owner.

Exception: Records may be provided to a court or government authority when legally required

Electronic records

Records must also be maintained electronically and may be shared with government bodies through electronic systems.

CLASSIFICATION OF INDUSTRIES (SECTION 17)

Schedules

17(1) CLASSIFICATION BY INVESTMENT SIZE

Micro Industry — Individua, Workers

- **Fixed capital up to Rs. 2 million** (excluding land & building)
- **Entrepreneur manages the business**
- Maximum **9 workers**
- **Annual turnover below Rs. 10 million**
- Power consumption up to **20 KW**

Cottage Industry

- **Traditional skill & technology based**
- **Labour/local raw material based**
- Power consumption up to **50 KW**
- Includes industries in **Schedule 2**

Industry Size

Small Industry
Fixed capital up to **Rs. 150 million**

Medium Industry
Fixed capital **Rs. 150–500 million**

Large Industry
Fixed capital above **Rs. 500 million**

17(2) CLASSIFICATION BY NATURE OF BUSINESS

Energy-based Industry
Energy generation (Schedule 3)

Manufacturing Industry
Production/processing of goods

Agriculture & Forest-based Industry
Agriculture/forest product industries (Schedule 4)

Mining Industry
Mineral extraction & processing

Infrastructure Industry
Infrastructure projects (Schedule 5)

Tourism Industry
Tourism-related services (Schedule 6)

IT/Communication Industry
IT, ICT & information services (Schedule 7)

Service Industry
Service-based businesses (Schedule 8)

17(3) AUTOMATIC RECLASSIFICATION

Industry is automatically reclassified if capital, capacity, or objectives change under Section 12.

17(4) GOVERNMENT POWER

Government may add, shift, or reclassify industries through a Nepal Gazette notification.

17(5) COOPERATIVE-OWNED INDUSTRIES

Eligible cooperatives may register industries under the Act.

17(6) EXISTING INDUSTRIES

Industries registered before this Act may update their classification under the Act.

17(7) AMENDMENT OF CLASSIFICATION

Government may revise industry classifications by Gazette notification.

Section 18: Fixed Capital of Industry

18(1) Assets Included in Fixed Capital



Buildings & Structures
Buildings, factories, warehouses
Underground/overground structures
Staff housing



Infrastructure
Internal roads, sewerage, water supply
Electricity systems



Plant & Equipment
Machinery, tools & spare parts
Transport vehicles
Office equipment
Furniture & fixtures
Communication systems



18(2) Capitalized Pre-Operation Expenses



Technical & inspection expenses
Pre-investment & pre-operation expenses
Capitalized interest
Environmental study & research expenses

Section 19: Industry of National Priority



Schedule - 9

Industries listed in **Schedule 9** are recognized as **Industries of National Priority.**



Evaluate and assess the provision relating to industry investment promotion board (Section 20 – 23), one stop service centre (37 – 38) and sick industries. (Section 39 – 42)

LO	Syllabus content	Technical grid reference
LO 6b	❖ Formation of the industrial promotion board ❖ Functions, duties and powers of the board ❖ Secrecy ❖ Provisions relating to province level industrial promotion board ❖ One stop service centre ❖ Functions, duties and powers of the one stop service centre ❖ Identification of sick industries ❖ Classification of sick industries ❖ Facilities, concessions and rebate to sick industries ❖ Provisions relating to revival of sick industries	Section 20 to 23 of the Industrial Enterprises Act, 2076 Section 37 and 38 of the Industrial Enterprises Act, 2076 Section 39 to 42 of the Industrial Enterprises Act, 2076

SECTION 20: CONSTITUTION OF INDUSTRY & INVESTMENT PROMOTION BOARD

20(1) BOARD COMPOSITION

CHAIRPERSON

MINISTER FOR INDUSTRY, COMMERCE & SUPPLIES

GOVERNMENT MEMBERS

- NPC Member (Industry)
- Governor, Nepal Rastra Bank
- Secretaries of concerned Ministries
- CEO, Investment Board Nepal
- Joint Secretary (Industry Promotion)
- Director General, Department of Industry (Member-Secretary)

PRIVATE SECTOR MEMBERS

- FNCCI Chairperson
- CNI Chairperson
- Federation of Nepal Cottage & Small Industries Chairperson
- Women Entrepreneurs Federation Chairperson
- Two industry experts (including at least one woman)

20(2) MINISTER OF STATE

Minister MoS

If both Minister and Minister of State are appointed, the Minister of State serves as a Board Member.

20(3) EXPERTS

Board may invite experts or government officials to meetings.

External specialists

20(4–5) MEETINGS

Meets at least once every two months.

Agenda circulated 24 hours in advance.

20(6–8) CONFLICT OF INTEREST & DECISIONS

Members with a personal interest cannot participate.

Decisions made in violation are void.

Decisions are authenticated by the Member-Secretary.

20(9–10) SECRETARIAT & PROCEDURE

- Secretariat is located in the Department of Industry.
- Board determines its own meeting procedures.

SECTION 21: FUNCTIONS, DUTIES & POWERS OF THE BOARD

21(1) KEY FUNCTIONS



Policy & Reform

- Recommend industrial, investment & FDI policies
- Suggest legal, institutional & procedural reforms
- Recommend changes in industry classification



Industrial Development

- Review industrial growth
- Promote investment & competitiveness
- Conduct studies & research
- Recommend pollution control policies



Coordination & Facilitation

- Resolve entrepreneurs' grievances
- Coordinate with Provincial & Local Governments
- Facilitate One-Stop Service Centre
- Remove implementation difficulties
- Perform other prescribed functions

21(2) DELEGATION



Board may delegate its powers to a Government body or officer.

21(3) ANNUAL REPORT



Submit an annual report to the Ministry within 30 days after the fiscal year ends.

Ministry publishes the report on its website.

SECTION 22: SECRECY TO BE MAINTAINED

22(1) CONFIDENTIALITY



CONFIDENTIALITY

Board members and participants must not disclose or misuse confidential informatiored through Board functions.

22(2) CONSEQUENCE



CONSEQUENCE

Breach of confidentiality is treated as official misconduct, and the violation is officially recorded.

SECTION 23: PROVINCIAL INDUSTRY & INVESTMENT PROMOTION BOARD

23(1) CONSTITUTION

Provincial Government may establish a Provincial **Industry & Investment Promotion Board** under provincial law.

23(2) FUNCTIONS



Policy & Development

- Review industrial development and recommend reforms
- Promote domestic investment
- Implement industrial pollution control policies



Research & Promotion

- Conduct studies and surveys
- Promote a competitive industrial environment



Coordination & Facilitation

- Resolve entrepreneurs' grievances
- Coordinate with Local Levels
- Coordinate with the Federal Board for One-Stop Service Centre services
- Request clarification on federal industry laws through the Provincial Ministry
- Perform other functions for industrial promotion

23(3) RECOMMENDATIONS



May submit suggestions and recommendations to the Ministry through the concerned Provincial Ministry for industrial and investment promotion.

SECTION 37: ESTABLISHMENT OF ONE STOP SERVICE CENTRE



Single-Window Service: Government may establish a One Stop Service Centre (OSSC) to provide industry-related services from one place.



Purpose: Facilitate industry registration, permission, expansion, incentives, exemptions, facilities, concessions, and liquidation (except insolvency) efficiently.



Institutional Representation: Concerned government bodies shall assign authorized officials to the OSSC with necessary delegated powers.



Operations: Location, services, representation, and procedures are prescribed by law.



Interim Committee: Until the OSSC is established, the Government may form a One Stop Service Operation Committee by publishing a notice in the Nepal Gazette.

SECTION 38: FUNCTIONS, DUTIES AND POWERS OF THE ONE STOP SERVICE CENTRE



Industry Administration: Registration, licensing, renewal, approvals, capacity enhancement, and dissolution (except insolvency).



Foreign Investment: Precess foreign investment approvals.



Labour & Work Permits: Facilitate labour permits and work approvals.



Visa Services: Provide visa-related facilitation.



Environmental Approvals: Handie IEE and EIA-related processes.



Infrastructure Coordination: Coordinate electricity, water, roads, communication, and land required for industries.



Incentives & Concessions: Implement Government decisions on industrial incentives and facilities.



Foreign Exchange: Process foreign currency exchange approvals.



PAN Services: Provide Permanent Account Number (PAN).



Visa Services: Assist with export-impnits and work approvals.



Trade Facilitation: Assist with export-import codes and bonded warehouse facilities.



Land Facilitation: Coordinate land acquisition, Government lease, and land ceiling exemptions.



Institutional Coordination: Receive applications requiring approval from multiple agencies and coordinate their processing.



Digital Services: Accept and process applications electronically through an integrated system.



Import Permission: Grant or recommend import approvals where required.



Investment Portal: Operate an investment portal and provide investment-related information.



Industrial Facilitation: Provide recommendations and facilitation for industrial enterprises.



Implement Decisions: Execute decisions and directions issued by the Ministry and the Board.



Other Functions: Perform additional functions assigned by the Government through a Nepal Gazette notification.



Binding Decisions: Decisions made by the One Stop Service Centre must be implemented by the concerned authorities.



Operation & Procedures: Management, services, facilities, concessions, and procedures are prescribed by law.

CHAPTER 7: PROVISIONS RELATING TO SICK INDUSTRIES

1 SECTION 39: IDENTIFICATION OF SICK INDUSTRIES



Declaration as Sick Industry: Government may declare an industry as a sick industry if:

- It has operated for at least 5 years after commencing commercial production/transaction.
- It has operated at 30% or less of installed capacity for the last 3 consecutive years.
- It has incurred losses for 3 consecutive years.
- The situation is due to circumstances beyond its control, not intentional default or poor management.

Revival Support: Government may provide prescribed exemptions, facilities, or concessions for a specified period to rehabilitate and revive eligible sick industries.

Operation through Cooperatives: With the investor's consent, a sick industry may be operated through a cooperative, subject to prescribed conditions and feasibility.

2 SECTION 40: CLASSIFICATION OF SICK INDUSTRIES



Sick industries may be classified as:

- **Fully Sick Industry**
- **Sick Industry**
- **Industry Oriented to be Sick**

Management measures for each category shall be as prescribed.

3 SECTION 41: FACILITIES, CONCESSIONS AND EXEMPTIONS



Duty, Fee & Tax Relief: Government may grant full or partial exemption from customs duty, fees, or taxes on machinery, tools, and equipment imported for:

- Expansion,
- Restructuring, or
- Diversification of industries identified or classified as sick.

4 SECTION 42: INSTITUTIONAL PROVISION RELATING TO SICK INDUSTRIES



Expert Committee: Government may form a committee of experts to advise on:

- Identification,
- Classification,
- Rehabilitation,
- Restructuring, and
- Management of sick industries.

Prescribed Framework: The committee's structure, functions, duties, and powers shall be as prescribed.

Analyse and evaluate the provisions relating to punishments and appeal. (Section 43 – 46)

LO	Syllabus content	Technical grid reference
LO 6c	❖ Provisions relating to punishment ❖ Recovery as if government due ❖ Opportunity to submit clarification ❖ Appeal	Section 43 to 46 of the Industrial Enterprises Act, 2076

CHAPTER-8: PROVISIONS RELATING TO PUNISHMENT AND APPEAL

SECTION 43: PUNISHMENT (Updated as per amended Act)

SUB-SECTION	OFFENCE / DEFAULT	DESCRIPTION	FINE / ACTION	APPLICABLE TO / INDUSTRY
43(1)	Operating industry without registration (Contravention of Section 3)	Operating an industry without registering it as required.	• Rs. 5,000 • Rs. 5,000 • Rs. 25,000 • Rs. 50,000 • Rs. 100,000	• Micro Enterprise • Cottage Industry • Small Industry • Medium Industry • Large Industry
43(2)	Acting contrary to registered objective	An industry operates contrary to its approved objective.	• Up to Rs. 2,000 • Up to Rs. 50,000 • Up to Rs. 100,000 • Up to Rs. 500,000	• Micro Enterprise • Cottage & Small Industry • Medium Industry • Large Industry
43(3)	Failure to inform commencement (Contravention of Section 9)	Failure to inform commencement of operation, commercial production or business within the prescribed period.	• Rs. 2,000 every 6 months • Rs. 10,000 every 6 months • Rs. 25,000 every 6 months	• Micro Enterprise • Cottage & Small Industry • Medium & Large Industry
43(4)	Relocation / Capital increase / Capacity expansion / Change of objectives without approval (Contravention of Sections 11 & 12)	Relocation of industry or increase in capital, capacity or change/addition of objectives without prior approval.	• Rs. 5,000 • Rs. 25,000 – 50,000 • Rs. 100,000 – 300,000 • 100% additional fine (over above applicable fine in (b) or (c)) for industries requiring prior permission under Section 8	• Micro Enterprise • Cottage & Small Industry • Medium & Large Industry • Industries requiring prior permission (Section 8)
43(5)	Failure to submit information (Contravention of Section 13)	Failure to submit the information required within the prescribed period.	• Rs. 1,000 • Rs. 5,000 • Rs. 10,000 • Rs. 25,000	• Micro Enterprise • Cottage & Small Industry • Medium Industry • Large Industry

43(6)	Contravention of Section 36	Acting contrary to Section 36 (misuse of incentives, exemptions, facilities or concessions).	Authority may at any time: • Suspend incentives/exemptions/ facilities/concessions; • Recover an amount equal to such incentive/exemption/facility/ concession; or • Impose fine equal to such amount.	All Industries
43(7)	Failure to discharge CSR responsibility (Contravention of Section 54)	Failure to discharge Corporate Social Responsibility (CSR).	• 1.5% of annual net profit. • Additional 0.5% of annual net profit for each subsequent fiscal year of default.	All Industries
43(8)	Failure to comply with conditions / directions	Failure to comply with any condition under this Act/ Rules or any direction issued by the authority.	• Up to Rs. 5,000 • Rs. 50,000 – 150,000 • Rs. 150,000 – 300,000 • Rs. 250,000 – 300,000	• Micro Enterprise • Cottage & Small Industry • Medium Industry • Large Industry
43(9)	Other violations of Act / Rules	Any other act done in contravention of this Act or Rules (not specifically covered above).	• Up to Rs. 15,000 • Rs. 15,000 – 30,000 • Rs. 30,000 – 50,000 • Rs. 50,000 – 100,000	• Micro Enterprise • Cottage & Small Industry • Medium Industry • Large Industry
43(10)	Additional fine for industries requiring prior permission	Where prior permission under Section 8 is required.	An additional fine of 50% of the fine imposed under this Section.	Industries requiring prior permission (Section 8)
43(11)	Fine for industries registered & regulated by Province / Local Level	Industries registered and regulated by Provincial or Local Governments.	Penalties and enforcement shall be as determined by the relevant Provincial or Local law.	Industries registered & regulated by Province or Local Level

OTHER PROVISIONS (MERGED)

SUB-SECTION	PROVISION
43(10)	Industries requiring prior permission under Section 8 shall be liable to an additional fine of 50% of the fine imposed under Section 43.
43(11)	Fines and enforcement for industries registered and regulated by Provincial or Local Governments shall be governed by the respective Provincial or Local law.



SECTION 44: TO BE RECOVERED AS GOVERNMENT DUE

Any fine imposed under this Act shall be recovered as Government dues in accordance with the prevailing law.



SECTION 45: OPPORTUNITY TO BE HEARD

Before imposing any punishment under this Chapter, the concerned industry must be given a reasonable opportunity to be heard.



SECTION 46: PROVISIONS RELATING TO APPEAL

Right to Appeal: A person aggrieved by a punishment order under this Chapter may appeal to the High Court within **35 days** from the date of receiving notice of the punishment.

Appellate Authority:
- **District Court:** Appeals against decisions of the Local Level Industry Registration Body.
- **High Court:** Appeals against punishments imposed by the Provincial Industry Body or Power the Department.

Explain about industrial human resource and corporate social responsibility. (Section 47 – 56)

LO	Syllabus content	Technical grid reference
LO 6d	❖ Provisions relating to special economic zones or export processing zones or export promoting zones ❖ Provisions relating to Nepal business forum ❖ Industrial human resources ❖ Contract or sub-contract manufacturing agreements ❖ Industrial and investment promotion fund ❖ Province level industrial and investment promotion fund ❖ Restrictions on providing double facilities ❖ Corporate social responsibility ❖ Industrial corridor, industrial gram or industrial cluster ❖ Prohibition on building residential house or other house in industrial areas	Section 47 to 56 of the Industrial Enterprises Act, 2076

NEPAL INDUSTRIAL RELATIONS & DEVELOPMENT PROVISIONS

SECTION 47: PROVISIONS RELATING TO SPECIAL ECONOMIC ZONE

Provisions relating to economic zones, inland economic zones, export promotion zones, export processing zones, special economic zones, special commercial zones, tourism zones, and other zones established for extensive industrial activities shall be governed by the prevailing laws.



Industrial Activities in Designated Zones

SECTION 48: PROVISIONS RELATING TO NEPAL BUSINESS FORUM

Purpose:

The Government of Nepal may establish a Nepal Business Forum with representation from the private sector to promote coordination and cooperation between the public and private sectors.

MAJOR FUNCTIONS:

- ☑ Facilitate regular dialogue between government and private sector.
- ☑ Support effective implementation of industrial and business-related policies and laws.
- ☑ Identify difficulties, obstacles, and problems in:
  - Operation of industries and businesses.
  - Promotion of investment.
- ☑ Provide suggestions and recommendations to the Government of Nepal.
- ☑ Assist in implementation and monitoring of recommendations.
- ☑ Establish an institutional platform for regular, transparent, and result-oriented public-private dialogue.



Public-Private Sector Collaboration

OTHER PROVISIONS:

Formation, structure, functions, duties, powers, and other matters relating to the Nepal Business Forum shall be as prescribed.

SECTION 49: INDUSTRIAL HUMAN RESOURCE

1. Requirement of Nepali Human Resources



Industries shall fulfil their human resource requirements through Nepali citizens.

2. Appointment of Foreign Citizens

- Required specific skills or competency are unavailable among Nepali citizens, despite advertisement in a national newspaper, or
- For senior-level management positions.

Appointment requires:

- Recommendation from the Department.
- Labour permit under prevailing labour law.

Maximum period of appointment: 5 years.

3. Recommendation for Foreign Employment

Industry registration body shall verify that:

- ☑ The industry attempted to find suitable Nepali human resources.
- ☑ Required skills/competency are necessary for the industry.
- ☑ Such skilled manpower is not available in Nepal.
- ☑ After verification, recommendation shall be made to the Department of Labour for labour permit.

4. Extension for Specialised Technical Persons

A foreign technical person with specialised skills may be re-appointed for an additional period of maximum 2 years if such skill is unavailable in Nepal.



5. Repatriation of Remuneration



Foreign employees appointed under this section may repatriats 70% of their remuneration received in Nepal in foreign currency.

6. Prohibition on Obstruction by Labour

Workers engaged in industries shall not perform activities causing obstruction or hindrance to:

- Operation of industry.
- Production activities.



Labour demands shall be presented peacefully according to prevailing labour law and resolved through mutual understanding.

7. Settlement of Labour Disputes



Individual or collective disputes between industry and workers shall be settled according to the prevailing labour law.

8. Remuneration During Closure Due to Labour Obstruction

If an industry is closed due to obstruction or hindrance caused by labour activities:



- The industry is not required to pay remuneration to workers/employees who stop work during such period.

SECTION 50: PRODUCTION THROUGH CONTRACT

Industries, firms, companies, or institutions having the same objective and registered under prevailing law may enter into:

- Contracts
- Subcontracts

for production or procurement of goods or services.

If goods or services are produced and supplied in a specified quantity under a contract or subcontract for an export-oriented industry according to prescribed standards:

The contracting industry may receive prescribed:

- Incentives
- Exemptions
- Facilities
- Concessions

Other provisions relating to production through contracts or subcontracts shall be as prescribed.

SECTION 51: INDUSTRY AND INVESTMENT PROMOTION FUND

The Government of Nepal shall establish an Industry and Investment Promotion Fund for:

- Promotion of industries,
- Protection of industrial investment.

THE FOLLOWING AMOUNTS SHALL BE CREDITED TO THE FUND:

- Amount received from the Government of Nepal.
- Amount received from any Nepali person or organisation.

RETURNS FROM INVESTMENTS OR AMOUNTS REMAINING IN EXISTING FUNDS, INCLUDING:

- Micro, Cottage and Small Enterprise Development Fund
- Micro, Cottage and Small Industry Loan Disbursement Fund
- Technology Development Fund, Female Entrepreneurship
- Venture Capital Fund
- Sick Industry Rehabilitation, Restructuring and Management Fund
- Industrial Investment Protection and Promotion Fund

BILATERAL OR MULTILATERAL GRANTS OR ASSISTANCE RECEIVED FROM:

- Foreign governments.
- International organisations.

Foreign grants or assistance require prior approval from the Ministry of Finance, Government of Nepal.

THE FUND MAY BE USED FOR:

- Development of micro-industries, cottage and small industries.
- Technology development.
- Industrial promotion.
- Rehabilitation, re-institutionalisation, and management of sick industries.
- Development of women entrepreneurship.

OPERATIONAL & MANAGEMENT PROVISIONS:

- Investment and expenditure from the Fund shall be made according to the approved annual programme of the Fund.
- Other provisions regarding operation and management of the Fund shall be as prescribed.

SECTION 52: PROVINCIAL INDUSTRIAL AND INVESTMENT PROMOTION FUND

A Province may establish a Provincial Industrial and Investment Promotion Fund for:

- Promotion of industrial investment, and
- Protection of industrial investment within the Province.

The operation and management of the Fund shall be governed by Provincial law.

The Fund may be used for the purposes mentioned in Section 51(3), including:

- Development of micro-industries, cottage and small industries, and industries.
- Technology development.
- Industrial promotion.
- Rehabilitation, re-institutionalisation, and management of sick industries.
- Development of women entrepreneurship.

SECTION 53: FACILITIES NOT TO BE PROVIDED IN DUPLICATION



The Government of Nepal or Provincial Government shall not provide duplicate services, facilities, or concessions to any industry under this Act or prevailing laws.

The Government of Nepal shall inform the concerned Provincial Ministry or body about services, facilities, or concessions provided to industries under this Act.





The Provincial Government shall inform the Department about services, facilities, or concessions provided under Provincial laws.

SECTION 54: CORPORATE SOCIAL RESPONSIBILITY (CSR)

The following industries must allocate at least 1% of annual net profit every fiscal year for Corporate Social Responsibility (CSR):

- Medium industries,
- Large industries, and
- Cottage and small industries having annual turnover of more than NPR 150 million (Rs. 15 crore).

CSR

The amount allocated for CSR shall be spent in prescribed areas based on:

- Annual plans, and
- Programmes.

Industries must submit details of:

- CSR programmes completed during each fiscal year, and
- Amount spent on such programmes

6 month

to the concerned industry registration body within 6 months after the end of the fiscal year.

The amount allocated for CSR may be claimed as a deductible expense for income tax purposes.

SECTION 55:
POWER TO DECLARE INDUSTRIAL VILLAGE, INDUSTRIAL CLUSTER, INDUSTRIAL ZONE, SPECIAL ECONOMIC ZONE OR INDUSTRIAL CORRIDOR.



Industrial Areas

The Government of Nepal may, by publishing a notice in the Nepal Gazette and setting prescribed criteria, declare any area having industrial potential as:

- **Industrial Village**
- **Industrial Cluster**
- **Industrial Zone**
- **Industrial Zone**
- **Special Economic Zone**
- **Industrial Corridor**



Industries operating in such declared areas shall receive the services, facilities, and concessions available under this Act and prevailing laws.

SECTION 56:
PROHIBITION ON MAKING BUILDING OR SETTLEMENT.





Compensation

No residential building, other types of buildings, or settlements shall be constructed within the specified area and distance of an industrial village, industrial zone, or special economic zone established after commencement of this Act.

The Government of Nepal shall provide **reasonable compensation** to any person suffering loss or damage due to restrictions on construction of buildings or settlements on private land within such specified areas.

SECTION 57:
USE OF ELECTRONIC MEANS.





Electronic Means

The industry registration body may establish necessary arrangements to **perform industry administration-related functions through electronic means.**

Such electronic procedures shall be conducted in accordance with prevailing laws relating to electronic transactions to make industry administration simple and efficient.

SECTION 58:
AUTOMATIC APPROVAL PROCESS.



Automatic Approval

The Government of Nepal may implement an automatic approval system for industry administration-related procedures, including:

- Registration of industries
- Services up to dissolution of industries
- Types and nature of industries
- Investment thresholds

The objective is to make industry administration procedures simple, easy, and predictable.

Other procedures relating to automatic approval shall be as prescribed.

SECTION 59:
POWER OF ATTORNEY MAY BE GIVEN.



* An industry or a person having ownership of an industry may **authorize another person through a power of attorney** to perform any or all acts and actions required to be carried out by such industry or owner.
* The power of attorney given for performing acts under this Section must be:
  - **Notarized**, and
  - Submitted to the industry registration body.
* The industry registration body may, if considered necessary, **inspect the original power of attorney.**

Sections 57 – 69

Summary LO only

Section 57: Electronic means may be used
Section 58: Provision relating to automatic approval process may be made
Section 59: Power of attorney may be given
~~Section 60: Special provisions relating to extension of time-limit or re-registration (Deleted)~~
Section 61: Power of Local Level to perform functions relating to administration of industries
Section 62: Application may be made
Section 63: Delegation of powers
Section 64: Power to remove difficulties
Section 65: Power to make alteration in the Schedule
Section 66: This Act to prevail
Section 67: Power to make rules
Section 68: Power to make and enforce Directives, Procedures or Standards
Section 69: Repeal and Saving

Note: The syllabus summary (LO 2d) covers Sections 47 – 69, but the detailed LO 6d lists only Sections 47 – 56. Sections 57 – 69 are added here for completeness. Sections 57 – 59 are shown on the first slide that follows (repeated from above).

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* The industry registration body may, if considered necessary, **inspect the original power of attorney.**

OVERVIEW OF SECTIONS 61-69: INDUSTRIAL ENTERPRISES ACT

Section 61: Power of Local Level to Perform Functions Relating to Administration of Industries

Local Level

Registration, Administration, and Regulation

The Local Level may perform functions relating to:

Registration | Administration | Regulation | Micro-enterprises | Cottage and small industries

This power applies to industries having fixed capital not exceedimg the amount specified under Provincial law and shall be exercised in accordance with Federal and Provincial laws.

62: Application May Be Made

If any decision or function required under this Act is not made or performed within the specified period, an aggrieved party may submit an application to the Ministry.

aggrieved party → Ministry

This provision does not apply to matters falling under the jurisdiction of:

Board, Province, or Local Level

63: Delegation of Powers

The Board may delegate some of its powers under this Act or Rules to:

Board →
- Secretary of the Ministry
- Director General of the Department
- Gazetted officers of the Government of Nepal
- Provincial Government employees

Department → any gazetted officer employee of the Government of Nepal

Local Level employees

64: Power to Remove Difficulties

Nepal Gazette

If any difficulty or obstacle arises during implementation of this Act, the Government of Nepal may remove such difficulty or obstacle by publishing a notice in the Nepal Gazette.

65: Power to Make Alteration in the Schedule

The Government of Nepal may, through notification in the Nepal Gazette, make necessary:

Schedule
- Alteration
- Addition
- Deletion
- Revision

66: This Act to Prevail

This Act

Matters specifically provided in this Act shall be governed by this Act. Other matters shall be governed by the prevailing laws.

67: Power to Make Rules

The Government of Nepal may frame necessary Rules for the implementation of this Act. The nesmap options.

68: Power to Issue Directives, Procedures, or Standards

- Registration and regulation of industries
- Promotion of domestic production
- Incentives, exemptions, facilities, and concessions
- Sick industries
- Registration and regulation of Startup Enterprises
- Establishment, operation, aod regulation of Enterprise Promotion Lantres (Business Incubation Centras)
- Industrial estates, industrial corridors, industrial clusters, and industrial villages
- Registration and regulation of Startop Enterprises
- Operation and monagement of the Pund
- Use of electronic means for service delivery
- Automatic prosess for investment approval
- Operatien of Nepal Business Forum
- Operation of One-Stop Service Centre
- Carporate Social Responsihility (CSR)

The Ministry may formulate and implement Standard Operating Procedures (SOPs), including procedures relating to service delivery through electronic means.

69. Repeal and Saving

REPEALED

The Industrial Enterprises Act, 2073 (2016) is repealed.

SAVING

All acts and actions performed under the industrial Enterprises Act, 2073 shall be deemed to have been performed under this Act.

Schedules

SCHEDULE-1

INDUSTRIAL ENTERPRISES ACT 2076

(RELATING TO SECTION 8)

INDUSTRIES REQUIRING PERMISSION

Section - 8



1. Industries producing arms, ammunition, gunpowder or explosives,



2. Security printing, banknotes and coin industries,



3. Industries producing cigarettes, bidi, cigar, chewing tobacco and goods utilising tobacco as the basic raw materials and electronic cigarettes,



4. Microbrewery, beer, alcohol, or alcoholic substances producing industries,



5. Stone, ballast, sand excavation, processing industries,



6. Industries producing radio communication equipment,



7. Industries like excavation of precious minerals and petroleum products,



8. Liquefied petroleum gas (L.P.G) refiling industries,



9. All kinds of industries producing drone products or providing services through drones,



10. Other industries requiring permission under the prevalent laws.

SCHEDULE-2:
COTTAGE INDUSTRIES

(Relating to clause (b) of subsection (1) of Section 17)

1. Handloom, pedal-loom, semi-automatic loom, wrapping, dyeing and printing, tailoring (other than readymade garments) and knitting with traditional technology;

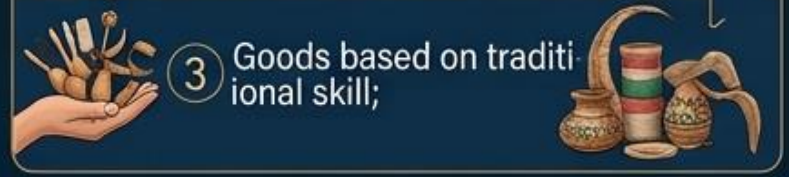


2. Hand knitted woollen and silk mats and blankets (Radi, Pakhi), carpets, pashmina, garments, hand-made paper and goods made thereof;





3. Goods based on traditional skill;



4. Traditional sculpturing;



5. Hand-made utensils made from metals such as copper, Pittal, Dhalout, brass and German silver, and handicrafts;





6. Hand-made utensils and traditional tools of domestic use made from iron such as knifes, Chulesi, Khukuri, sickle, Kuto, Kodalo;



7. Hand-made gold or silver ornaments, goods, utensils (precious, semi-precious, and inclusive of those with ordinary stones);





Section - 17



8. cutting of precious, semi-precious and ordinary stones available in Nepal; rural tanning / hand-made leather goods

9. Industries based on natural fibres such as zute, sabia grass, choya, bamboo (babiyo), cotton thread, allo and other natural-fibre based industries



10. Stone arts (stone carved goods);





11. Paubha, thanka art and other traditional .....chitrakala;



12. Masks and putali and dolls reflecting traditional culture;



13. Different kinds of handicraft goods reflecting traditional culture, musical instruments and art;



14. Wood, bone and horn, clay , rock, and mineral artistic goods, ceramics and clay pots;



15. Hand printed brick industries.



SCHEDULE-3

(Relating to clause (a) of subsection (2) of Section 17)

Energy-Based Industries

1. Industries generating energy from water resources, wind, solar power, coal, natural oil and fuel or gas, biomass or other sources, industries manufacturing machines/equipment to be used for the generation of such energy;



2. Electricity transmission lines;



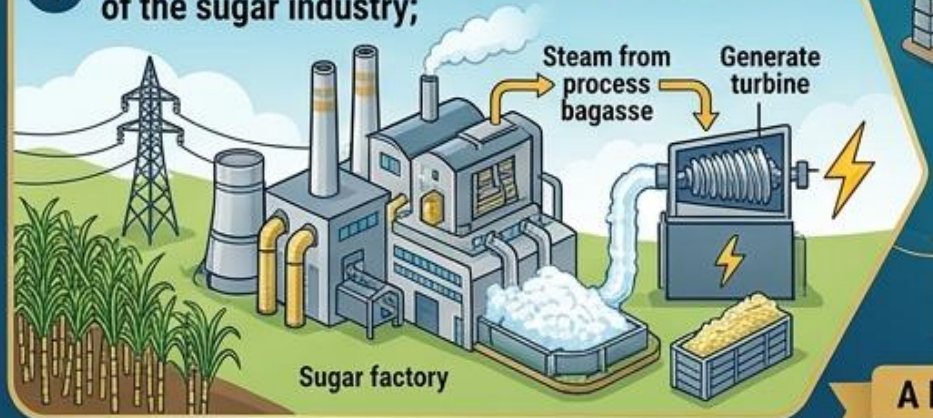
3. Electricity distribution system;



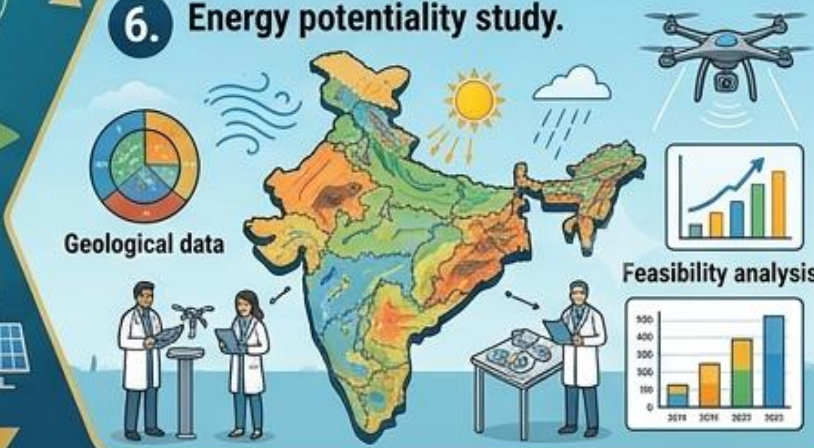
4. Energy based on bio-gas;



5. Electric energy to be produced as a co-production of the sugar industry;



6. Energy potentiality study.



Section - 17

A Detailed Guide to Energy Industry Classifications

Schedule-4: Industries Based on Agriculture and Forest Products

Section - 17

(Relating to clause (c) of subsection (2) of Section 17)

1. Fruits farming or fruits processing;
2. Production, processing and storage of food products;
3. Animal husbandry, birds farming (including ostrich), animal breeding, challa kadne business, and production and processing of meat;
4. Industries producing milk and processing of dairy products;
5. Fishery, production, processing and packaging of fry;
6. Industries producing animal feed from agro-products as the primary raw materials;
7. Silk farming and processing;
8. Tea garden, tea processing;
9. Coffee farming and coffee processing;
10. Herbs farming, herbs processing;
11. Production of vegetable seeds;
12. Vegetable farming, vegetable processing;
13. Establishment and operation of green-houses;
14. Bee keeping (bee breeding, honey production and processing;
15. Floriculture, flower processing (making of garland, decoration, making bouquet, including production of seeds);
16. Nursery business, establishment, protection and management of botanical gardens, inclusive of tissue culture;
17. Rubber farming, preliminary processing and operation of rubber;
18. Operation and management of cold stores, agriculture markets;
19. Establishment and management of a community, leasehold, partnership, private forest and agriculture forest, and other non-timber forest products;
20. Commercial farming and processing of cash crops...
21. Bet, bamboo farming, bet, bamboo and other natural fibre products;
22. Processing of seeds;
23. Wood industries including shaw-mills and furniture;
24. Wood industries such as parqueting, seasoning, treatment plant, ply wood, composite, board;
25. Industries based on other non-timber forest products including paper and resin;
26. Industries producing mushroom, tissue culture (producing plants through new technology), agroforest;
27. Cotton farming, production and processing of cotton and cotton seeds.
28. Agricultural Technology and Mechanization

SCHEDULE-5

(Relating to clause (e) of subsection 2 of Section 17)

Section - 17

INFRASTRUCTURE INDUSTRIES

TRANSPORTATION

1. Road, bridge, tunnel
2. Ropeway, railway, tram, trolley bus, monorail and sliding car
3. Runway/airport

UTILITIES & SERVICES

6. Water supply and distribution
7. Irrigation infrastructure
13. Polluted water purification industries **(waste water treatment plant)**
14. Telephone tower, optical fibre network, satellite, satellite broadcasting centre

BUILDINGS & COMPLEXES

4. Industrial structure and infrastructure complex
5. Assembly conference centre
8. Sports complex, stadium
9. Motor vehicle parking, parking house
15. Housing and residential building

BUSINESS & ZONE DEVELOPMENTS

10. Export processing zone
11. Special economic zone
12. Cargo complex
16. Building film city, building film studio
17. Business complex
18. Private warehouse

19. Construction, management and operation infrastructure for installation of pipelines for fuel and gas supply
20. Construction, management and operation infrastructure for energy house and energy transmission line

No change in text as per user request

SCHEDULE-6

Section - 17

(Relating to clause (f) of subsection (2) of Section 17)

TOURISM INDUSTRIES

1. Tourist housing, motel, hotel, resort, bar and restaurant;

2. Travel agency, tour operator, healing centre, casino, massage, spa;

3. Adventurous tourism, trekking, skiing, paragliding, water rafting, hot air ballooning, cannoning, parasailing, horse riding, elephant riding, bungee jumping, expedition, zip flyer, ultra light, sky walking, sky diving, and similar other adventurous games;

4. Cable car construction and operation industries;

5. Golf course, polo, pony trekking, trekking, cycling;

6. Rural tourism, home stay and ecological tourism, agricultural tourism;

7. Cultural, religious, assembly, conference and sports tourism;

8. Fun park, water park;

9. Wildlife reserve;

10. Museum.

11. Cruise Services, Water Recreation and Boating

Section - 17

SCHEDULE-7

(Relating to clause (g) of subsection (2) of Section 17)

INDUSTRIES BASED ON INFORMATION TECHNOLOGY, COMMUNICATION TECHNOLOGY AND INFORMATION DISSEMNATION TECHNOLOGY

PART (A)

INFORMATIONAL TECHNOLOGY INDUSTRIES:

(1) Technology park;
(2) IT park;
(3) Biotech park;
(4) Software development;
(5) Computer and related services;
(6) Data processing;
(7) Cyber café;
(8) Digital mapping;
(9) Business process outsourcing (B.P.O), knowledge process outsourcing (K.P.O);
(10) Data centre, data mining, cloud computing;
(11) Digital signature certifying agency;
(12) Web portal, web designing service, web hosting, online classified advertising service.

PART (B)

INFORMATIONAL TECHNOLOGY-BASED INDUSTRIES:

(1) Internet service provider (ISP);
(2) Telephone, mobile phone, mobile satellite phone operator service;
(3) Teleport service;
(4) Establishment and operation of satellite, establishment of satellite broadcasting center, VSAT service;
(5) Broadband infrastructure, telecom tower, optical network, satellite network;
(6) Social networking, online message, video call, conference.

PART (C)

DISSEMINATION TECHNOLOGY-BASED INDUSTRIES:

(1) FM radio, digital radio service;
(2) Digital land surface television, satellite television, cable television;
(3) IP television, online service;
(4) Digital cable television, network, direct to home (DTH) satellite service, MMDS network, digital television (DTTV) network;
(5) Recording studio, broadcasting studio;
(6) Print media industries, audio-visual material production industries, advertisement production industries;
(7) Production of motion pictures or documentaries.

Graphic based on text - No changes in text

Section - 17

SCHEDULE 8

(RELATED TO SECTION 17(2)(J))

SERVICE INDUSTRIES

HEALTH & WELLNESS

- Hospitals, Nursing Homes, Clinics, Polyclinics, Rehabilitation Centres, Physiotherapy Clinics, Ayurvedic Hospitals, ... and other Alternative Medical Hospitals
- Physical Fitness, Yoga, Meditation, and Exercise Centres
- Health Diagnostic Services (X-ray, CT Scan, MRI, Uitrasound, etc.) and Medical Laboratories
- Health Clubs

EDUCATION & RESEARCH

- Educational and Training Institutions
- Library, Archive, and Museum Services
- Laboratories
- Professional Research and Development, Management, Engineering and Design, Legal, Accounting, Auditing, Teaching, Traming, Educational and Technical Consultancy Services
- Research and Development Services
- Mineral Studies and Research
- Technology and Innovation Centres

TRANSPORT & LOGISTICS

- Public Transportation Businesses
- Air Transport Services
- Transportation and Cargo Services
- Customs Agent Services
- Courier Services
- Ride-Sharing Services
- Cold Storage Operations
- Packagiog, Refilling Services, Refilling or Distribution of Natural Gas (LNG, CNG, including LPG Refilling and Vehicle Gas Refilling Stations)
- Warehouses and Storage Facilities, Airports, Bus Parks, Railway Services, Cargo Complexes, Inland Clearance Depots (ICDs)

REAL ESTATE & INFRASTRUCTURE

- Construction Businesses
- Purchase of Land, Land Development, and Sale of Developed Land
- Rental, Repair, and Operation of Heavy Construction Equipment
- House Wiring, Electrical Fitting, and Repair Services
- Water Treatment, Transportation, and Distribution Services
- Operation of Completed Infrastructure Facilities (such as Convention Centres, Drinking Water Supply Systems, Fuel and Gas Pipelines, Stadiums, Sporta Complexes, Ropeways, Roads, Irrigation Systems, Electricity Transmission Systems, Power Plants)
- Operation of Commercial Complexes (Trading/Business Complexes)
- Serviced Apartments
- Serviced Office Space Providers

EDUCATION & INFRASTRUTUE

- Library Services
- Commercial Bading Services
- Library Fion Services
- Fropsnating Services
- Commercial Enveloyment Services
- Courer Transortant and Is Museum Services
- Professional & Training Services
- Professional Research and Development, Management, Engineer, Legal, Accounting, Auditing, Teaching, Training, Educational and Technical Consultancy Services
- Research and Development Services
- Mineral Studies and Research
- Technologies Services
- Technology and Innovation Centres

COMMUNICATIONS & CREATIVE

- Mechanical Workshops
- Printing Presses and Printing-Related Services
- Photography Services
- Cultural and Entertainment Businesses
- Exhibition Services
- Publishing Services
- Advertising Services
- Advertising Material Production Services
- Mass Communication Services
- Production and Broadcasting of Television Programmes and Documentary Telefilms
- Interior Decoration Services
- Security Service Providers
- Beauty Parlours
- Tailoring and Knitting Services (including Boutiques)

INDUSTRIAL SERVICES & TRADE

- Ginning and Baling Businesses
- Grain Milling, Grinding, Oil Extraction, and Packaging Services
- Dyeing, Sizing, and Printing of Textiles and Yarn (except where carried out by a textlie manufacturing industry for its own use)
- Battery Recharging Services
- Solid Waste Collection, Sanitation, and Waste Recycling Services
- Zoological Parks, Geological Parks, and Biotechnology Parks
- Soil Testing Services
- Cinema Halls (including Multiplexes)
- Theatres (including Multiplexes)
- Electrical Surveying Services
- Cleaning Services
- Industries providing services to the public through electroniz means (Online Platforms, Software, Mobile Applications, or siinilar electronic media)
- Leasing (Rental) of Machinery and Equipment
- Service businesses involving negligible processing, such as cut-to-length sbeets, photo film slitting, photo paper slitting, tissue paper sllting, ball bearing assembly, and repackaging of imported finished goods in bulk

VETERINARY & OTHERS

- Veterinary Services
- Commercial Veterinary Services
- Sports Services and Swimming Pools
- Business Incubation Services
- Foreign Employment Services
- Food Courts and Catering Services
- Investment Companies
- Fund Management Services
- Asset Management Services
- Equipment Repair and Installation
- Ready-Mix Concrete
- Export Houses

Section - 19

SCHEDULE 9 (RELATED TO SECTION 19)
NATIONAL PRIORITY INDUSTRIES

1 Cottage Industries



2 Energy-based Industries



3 Agriculture and Forest-based Industries



4 Infrastructure Industries



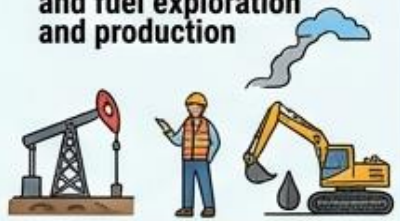
5 Export-oriented Industries



6 Adventure tourism with infrastructure, rural tourism, eco-tourism, golf courses, polo, pony trekking, tourism tourism, trekking tourism, rafting, convention tourism, sports tourism, religious tourism, cultural tourism, construction and operation of amusement parks, wildlife reserves, star-category hotels, eco-tourism resorts, cruise services, and water recreation (water entertainment).



7 Mining and Mineral Industries, including petroleum, natural gas, and fuel exploration and production



8 Industries engaged in:



9



Hospitals, nursing homes, veterinary hospitals and clinics, diagnostic health services, medical laboratories, biological research laboratories, and educational and training institutions established outside the Kathmandu Valley, Metropolitan Cities, and Sub-metropolitan Cities of the Terai Region.

10 Information Technology Industries



11



Industries established in industrial estates, Special Economic Zones (SEZs), and industrial villages developed and operated by the private sector.

12 Industries producing goods identified by the Government of Nepal as

high-value and low-weight/volume (high-price, low-weight/velume) products, as notified in the Nepal Gazette in accordance with the prescribed criteria.

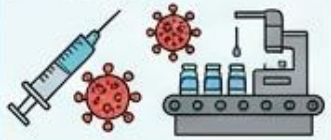
13 Industries producing goods or services identified

Industries producing goods or services identified under the National Integrated Trade Strategy (NTIS) approved by the Government of Nepal.

14 Film Production



15 Vaccine Manufacturing Industries



16 Liquid Oxygen Manufacturing Industries



17 National and International Air Transport Services, and Cable Car Services.



Government of Nepal

State the objectives of the Act along with definition of related terms of the Act and identify industry or business not opened to foreign investment to understand relationship with the Industrial Enterprises Act, 2076. (Section 1 – 3 of The Foreign Investment and Technology Transfer Act, 2075)

LO	Syllabus content	Technical grid reference
LO 6e	❖ Preamble, short title and commencement ❖ Foreign investment ❖ Industry or business not opened to foreign investment	Section 1 – 3 of The Foreign Investment and Technology Transfer Act, 2075

NEPAL: FOREIGN INVESTMENT & TECHNOLOGY TRANSFER ACT, 2019 (2075)

Date of Authentication: March 27, 2019 (2075.12.13)
Act No. 34 of the year 2075 (2018/19)
An Act Made to Amend and Consolidate Laws Relating to Foreign Investment and Technology Transfer

PREAMBLE



WHEREAS, it is expedient to...

MAKE NATIONAL ECONOMY COMPETITIVE, STRONG & EMPLOYMENT-ORIENTED
through maximum mobilization of resources...

SUSTAINABLE ECONOMIC GROWTH
through industrialization...







CREATING INVESTMENT FRIENDLY ENVIRONMENT
to attract foreign capital, technology, & investment...

IN IMPORT SUBSTITUTION, EXPORT PROMOTION...

INFRASTRUCTURE DEVELOPMENT & PRODUCTION OF GOODS & SERVICES

AMENDMENTS



1. Environment Protection (First Amendment) Act relating to Pollution Prevention and Control and Business Environment Promotion, 2080

2080/12/30





2. Some Nepal Acts Amendment Act relating to Investment Facilitation, 2081

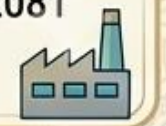
2081/03/24





3. Some Nepal Acts Amendment Act relating to Economic and Business Environment Reform and Investment Promotion, 2081





2081/12/18

SECTION 2: DEFINITIONS

Unless the subject or the context otherwise requires, in this Act,-

(a)



"Industry"
means any industry established in accordance with the prevailing law relating to industrial enterprises.

(b)



"One Stop Service Center"
means the One Stop Service Center established in accordance with the prevailing law relating to industrial enterprises.

(c)



"Non-resident Nepali"
means a person holding the non-resident Nepali identity card, or non-resident Nepali citizenship certificate or identity card, issued in accordance with the prevailing law relating to Non-Resident Nepalis.

(d)



"Prescribed" or "as prescribed"
means prescribed or as prescribed in the Rules framed under this Act.

(e)



"Securities Board"
means the Securities Board of Nepal established in accordance with the prevailing law relating to securities.

(f)



"Technology transfer"
means any transfer of technology to be made under an agreement between an industry and a foreign investor on the following matters:

1. Patent, design, trademark, goodwill, technological specificity, formula, process,
2. User's license, technological know-how sharing or use of technological knowledge (franchise),
3. Management and technical service, information technology, marketing and market research, financial, accounting and audit, outsourcing, human resource outsourcing, digital data processing and digital data migration, design service, or other technical skill or knowledge,
4. Reverse engineering.

(g)



"Board"
means the Industry and Investment Promotion Board referred to in the prevailing law relating to industrial enterprises (name amended by subsequent amendment; definition retained as the Industry and Investment Promotion Board).

(h)



"Ministry"
means the Ministry of Industries, Commerce and Supplies.

(i)



"Investment Board"
means the Investment Board referred to in the prevailing law relating to the Investment Board.

SECTION 2: DEFINITIONS (CONTINUED)

Unless the subject or the context otherwise requires, in this Act,

(j) "Foreign investment"

means the following investment made by a foreign investor in an industry or company:

1. Share investment in foreign currency,
2. Re-investment in an industry of dividends derived from foreign currency or shares,
3. Share investment made by importing machinery, tools or equipment, in accordance with Section 3,
4. Lease finance made in accordance with Section 6,
5. Investment made in venture capital fund in accordance with Section 9,
6. Investment made in listed securities through secondary securities market in accordance with Section 10,
7. Investment made by purchasing shares or assets of a company incorporated in Nepal,
8. Investment received through the banking channel after issuing securities in a foreign capital market by an industry or company incorporated in Nepal in accordance with Section 11,
9. Investment made through technology transfer,
10. Investment maintained by establishing and expanding an industry in Nepal, or
11. Investment made in units of a specialized investment fund, in accordance with Section 9A.

(k) "Foreign investor"

means any foreign individual, firm, company, Non-resident Nepali or foreign government or international agency or other corporate body of similar nature that makes foreign investment, and also includes, in the case of a foreign investor that is an institutional foreign investor, the ultimate beneficiary of such an institution.

(l) "Foreign investment approving body"

means the body referred to in Section 17.

(m) "Department"

means the Department of Industries.

(n) "Institutional foreign investor"

means a foreign company, corporate body or international institution that makes foreign investment.

Note: All terms shall have the meanings as defined above unless the subject or context otherwise requires.

SECTION 3: FOREIGN INVESTMENT MAY BE MADE

1 PERMITTED

FOREIGN INVESTMENT:

- A foreign investor may invest in any industry except industries listed in the Schedule and may derive gains from such investment.



2 RESTRICTION ON REINVESTMENT

- An industry operated with foreign investment shall not invest its profits or make investment in any other manner in industries listed in the Schedule.



EXCEPTION – TECHNOLOGY TRANSFER

- Technology transfer may be made, with approval of the Department, to an industry established with Nepali investment, even if that industry is listed in the Schedule.



3 MINIMUM INVESTMENT LIMIT

- Approval shall not be granted for foreign investment below the minimum amount prescribed by the Government of Nepal through a notification in the Nepal Gazette.



- Different minimum investment limits may be prescribed for Non-Resident Nepalis (NRNs) and other foreign investors.



SCHEDULE

(Relating to sub-section (2) of Section 3)

INDUSTRIES OR BUSINESSES THAT ARE NOT OPEN TO FOREIGN INVESTMENT

1. 

   Livestock farming, fish farming, beekeeping, fruits, vegetables, oilseeds, pulses, dairy business and other industries or businesses related to primary agricultural production, which produce their own products and export at least 75% of their production, except large-scale industries, agricultural technology and mechanization.

2. 

   Cottage and small industries,

3. 

   Personal service business (hair cutting, tailoring, driving etc.),

4. 

   Industries manufacturing arms, ammunition, bullets and shells, gunpowder or explosives, and nuclear, biological and chemical (N.B.C.) weapons; industries producing atomic energy and radioactive materials,

5. 

   Real estate business (excluding construction industries), retail business, internal courier service, local catering service, moneychanger, remittance service,

6. 

   Travel agency, guide involved in tourism, trekking and mountaineering guide, rural tourism including homestay,

7. 

   Business of mass communication media (newspaper, radio, television and online news) and motion picture of national language,

8. 

   Management, account, engineering, legal consultancy service and language training, music training, computer training, and

9. 

   Consultancy services having foreign investment of more than fifty-one percent.

10. 

    Ride-sharing businesses having foreign investment exceeding 70%.

11. 

    Air Transport and Aviation-Related Services

    In the case of industries providing aircraft operation, training, maintenance and repair, and air service facilities, foreign investment shall not exceed the following limits:

(a) International air service:	**80%**
(b) Domestic air service:	**49%**
(c) Training institution:	**95%**
(d) Maintenance and repair institution:	**95%**

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